



LIBERTY KENYA HOLDINGS LIMITED

The Board of Directors of Liberty Kenya Holdings Limited is pleased to announce the unaudited results of the Group for the six months ended 30 June 2017

Group Statement of Financial Position

	30 June 2017 Shs'000	30 June 2016 Shs'000	31 Dec 2016 Shs'000
Capital and reserves			
Ordinary share capital	535,707	535,707	535,707
Share premium	1,490,480	1,490,480	1,490,480
Revenue and other reserves	4,727,903	4,130,523	4,395,529
Equity attributable to owners of parent	6,754,090	6,156,710	6,421,716
Non-controlling interest	277,755	295,244	331,925
Total equity	7,031,845	6,451,954	6,753,641
REPRESENTED BY:			
Assets			
Property and equipment	1,071,801	1,069,780	1,096,106
Intangible assets	117,038	89,797	98,323
Goodwill	1,254,995	1,254,995	1,254,995
Investment property	791,575	964,875	789,763
Financial investments	23,287,367	22,991,458	21,896,541
Receivable arising from reinsurance	561,975	572,837	490,076
Receivable arising from direct insurance	1,112,577	1,159,926	1,224,312
Reinsurers' share of insurance liabilities	3,029,293	2,555,622	2,315,493
Deferred acquisition costs	130,152	161,983	110,053
Other receivables	424,021	503,332	332,236
Deferred income tax	135,324	101,268	131,175
Current income tax	60,157	29,999	22,120
Cash and cash equivalents	4,629,182	3,652,264	4,936,638
Total assets	36,605,457	35,108,136	34,697,831
Liabilities			
Insurance contract liabilities	13,060,746	11,625,990	11,939,589
Deposit administration liabilities	10,229,447	11,055,436	10,367,517
Unearned premium reserve	3,681,223	3,499,830	3,026,221
Creditors arising from reinsurance	808,443	722,197	824,172
Deferred acquisition income	100,997	118,284	87,318
Other liabilities	723,225	740,653	793,325
Deferred income tax	940,424	858,491	859,292
Current income tax	29,107	35,301	46,756
Total liabilities	29,573,612	28,656,182	27,944,190
Net assets	7,031,845	6,451,954	6,753,641

Group Income Statement

	30 June 2017 Shs'000	30 June 2016 Shs'000	31 Dec 2016 Shs'000
Income			
Gross earned premium revenue	4,895,741	4,778,366	9,623,170
Less: Outward reinsurance	(2,138,128)	(1,959,842)	(4,049,834)
Net insurance premium revenue	2,757,613	2,818,524	5,573,336
Commissions earned	512,087	413,459	872,058
Investment income	1,738,716	1,497,893	2,552,561
Administration fees	8,026	4,700	9,650
Other income	26,498	(29,162)	17,268
Total income	5,042,940	4,705,414	9,024,873
Claims and policyholder benefits payable	(3,053,411)	(2,379,677)	(4,854,412)
Change in insurance contract liabilities	(460,731)	(498,359)	(854,563)
Amounts recoverable from reinsurers	1,213,956	767,730	1,756,860
Net insurance benefits and claims	(2,300,186)	(2,110,306)	(3,952,115)
Total expenses and commissions	(2,195,767)	(2,104,993)	(4,130,873)
Commissions payable	(659,621)	(572,119)	(1,176,507)
Other operating expenses	(1,536,146)	(1,532,874)	(2,954,366)
Result of operating activities	546,987	490,115	941,885
Profit before income tax	546,986	490,115	941,885
Income tax expense	(124,479)	(134,684)	(314,051)
Profit for the period	422,508	355,431	627,834
Attributable to:			
Owners of the parent	415,506	344,651	585,580
Non-controlling interest	7,002	10,780	42,254
	422,508	355,431	627,834
Basic and diluted earnings per share	0.79	0.66	1.17

Abridged Group Statement of Cashflows

	30 June 2017 Shs'000	30 June 2016 Shs'000	31 Dec 2016 Shs'000
Cash generated from operations	(465,750)	(963,837)	(1,240,070)
Net interest received	1,209,126	935,569	2,452,437
Income tax recovery (paid)	(103,182)	49,654	(196,628)
Net cash generated from operating activities	640,194	21,386	1,015,739
Cashflows from (used in) investing activities	(941,770)	(3,101,863)	(2,788,280)
Currency translation differences	(5,880)	(24,433)	(47,995)
Net (decrease) increase in cash equivalents	(307,456)	(3,104,910)	(1,820,536)
Cash and cash equivalents at 1 January	4,936,638	6,757,174	6,757,174
Cash and cash equivalents	4,629,182	3,652,264	4,936,638

Group Statement of Comprehensive Income

	30 June 2017 Shs'000	30 June 2016 Shs'000	31 Dec 2016 Shs'000
Profit for the period	422,508	355,431	627,834
Items that can be reclassified into profit or loss:			
Foreign currency (loss)	(4,565)	(73,011)	(58,400)
Items that cannot be reclassified into profit or loss:			
Recognition of deferred income tax on revaluation	-	(63,577)	(4,650)
Gain on revaluation of land and buildings	-	-	15,500
Total comprehensive income for the period	417,943	218,843	580,284
Total comprehensive income attributable to:			
Owners of parent	415,348	257,535	582,295
Non-controlling interest	2,595	(38,692)	(2,011)
Total comprehensive income for the period	417,943	218,843	580,284

Abridged Group Statement of Changes in Equity

	Share Capital Shs'000	Share Premium Shs'000	Revenue and other reserves Shs'000	Non - controlling interest Shs'000	Total Shs'000
At 1 January 2017	535,707	1,490,480	4,395,529	331,925	6,753,641
Net profit for the year	-	-	415,506	7,002	422,508
Other comprehensive income	-	-	(158)	(4,407)	(4,565)
Deferred tax	-	-	(81,125)	-	(81,125)
Additional shares	-	-	-	18,886	18,886
Dividend paid to non-controlling interests	-	-	-	(74,419)	(74,419)
As at 30 June 2017	535,707	1,490,480	4,729,752	278,987	7,034,926

Message from the Directors

The Directors are pleased to announce the unaudited results of the Group for the six months period ended 30 June 2017.

Press Release

The Group gross earned premiums increased by 2% with the Kenyan operations exceeding prior period in the first half of the year compared to 2016. Tanzania business however faced a challenging beginning to the year due to a continued difficult trading environment, further aggravated by competitive pressures. The outlook for the remainder of 2017 remains positive barring any unexpected fundamental changes in legislative and macro-economic environment.

FINANCIAL HIGHLIGHTS



The Group's earnings after tax improved by 19% compared to last year buoyed by improved investment returns and modest increase in earned premiums. The business fundamentals are sound with claims increases within range and operating expenses flat on prior year despite inflationary pressures.

The above financial statements were approved by the Board of Directors on 30 August 2017 and signed on its behalf by:

S Mboya
Chairman

M L du Toit
Managing Director

G R May
Director

C Kioni
Company Secretary

We are a better society because we believe in diversity.

Award title: 1st Runners-up - Most Improved Board Gender Diversity
NSE/KIM: Board Leadership and Diversity Report Launch

Head Office: Liberty House, 7th Floor, Mamlaka Road,
T: + 254 20 286 6000/ 254 20 271 8365
P. O Box 30390 - 00100, Nairobi, Kenya

